rouble notes of different colours and sizes.

1998 The successive demonetizations of 1991 and 1993 and confiscation of savings had led to Russians losing confidence in their currency.

Russia had effectively become a demonetized and/or a multi-currency economy, where trade and business were not primarily conducted in roubles, but in foreign currency. US dollars were widely used and, by early 1998, it was estimated that the value of the dollar stock in Russia was greater than the value of the rouble stock!

There was also extensive use of barter in business-to-business transactions. According to the Russian Economic Barometer Survey time series report, the share of barter in industrial output had risen from five per cent in early 1992 to almost 50 per cent in 1998.

The only silver lining of the previous demonetizations and economic chaos that followed, as stated by the Finnish economist, Pekka Sutela, was '…if money and financial institutions are little used, their collapse will not bring the whole economy down.'

Preparation for the demonetization of 1998 started in August 1997. Learning from the experience of 1991 and 1993, exchange of the old banknotes occurred gradually from 1 January 1998 until 2002.

The new rouble was worth 1,000 old (1993) roubles. The design and appearance of the new notes did not change, except only the zeroes were removed! Its intent was simple – to reduce the nominal value of money in circulation, and as citizens were given adequate time to exchange their money, confidence returned.

This demonetization had a positive impact on money circulation and was welcomed by citizens, as it simplified calculations and accounting. Strengthened by the other fiscal and monetary measures, the rouble, though significantly devalued, gradually regained its role as the major currency of Russia.

Zaire[18]